of India.

Contingency Fund of India: As per Article 267 the Parliament may by law establish "the Contingency Fund of India" in the nature of an imprest. Imprest means loan or advance. Money can be credited from time to time in this account as per the law enacted in this respect. It shall be placed at the disposal of the President to enable advances to be made by him out of such Fund for the purposes of meeting unforeseen expenditure pending authorisation of such expenditure by Parliament by law.

The Contingency Fund of India Act, 1950 was enacted with ₹ 15 crore and the Fund is held by Finance Secretary on behalf of The President. In 2005 it was raised to ₹ 500 crore.

Finance Commission

As per Article 280 the President constitutes a Finance Commission every five years with one chairman and four members. It can be constituted earlier than five years. The Finance Commission Act 1951 defines the qualification and eligibility and terms of the chairman and members.
It shall be the duty of the Commission to make recommendations to the President as to—

a. the distribution between the Union and the States of the net proceeds of taxes which are to be, or may be, divided between them under this chapter and the allocation between the States of the respective shares of such proceeds;
b. the principles which should govern the grants in- aid of the revenues of the states out of the Consolidated Fund of India;
c. the measures needed to augment the Consolidated Fund of a state to supplement the resources of the Panchayats in the state on the basis of the recommendations made by the Finance Commission of the state;